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# Powerchip Semiconductor Manufacturing Co

## Sustained pricing upcycle and diverse logic business support earnings expansion

**Reiterate Rating: BUY | PO: 125.00 TWD | Price: 66.20 TWD**

### 3Q26 margins surged on pricing uplift & higher utilization

3Q26 sales were +23% QoQ driven by +24% ASP across memory and logic businesses more than offsetting a mild decline in wafer shipment due to the capacity and clean room space adjustment following its P5 fab disposal to Micron. On stronger pricing and higher utilization, 3Q26 GMs jumped by 2,000bps QoQ to 48%. Solid sales and margins expansion took 3Q26 EPS to NT$1.38 well above BofAe/Street NT$0.98/0.96.

### Power IC and legacy DRAM ASP hike solidify GMs into '27

We expect Powerchip's 4Q26 sales to grow 26% QoQ, backed by continued favorable pricing negotiation in both memory and 8"/mature 12" logic since 3Q26, suggesting further ASP uplift to be reflected in 4Q26 factoring 2-4 months production lead time. With its logic foundry focus shifting to power ICs where supply is tight and customers agree on LTA, it could have another round of 10-20% price hike in early '27. The memory business should also see healthy pricing outlook with strong legacy demand across its commodity and foundry customers, supporting its GM/OpM to 50%/40% levels in 4Q26.

### 3D AI expansion and niche product focus reduce cyclicality

We model Powerchip's sales will grow by 20% CAGR from '26-28. Beyond memory and logic foundry business, its silicon Interposer capacity is fully loaded benefiting from TSMC outflow. Its WoW for DRAM and logic die stacking for edge AI applications (e.g. smartglasses) and 8"/12" IPD for optical module/EMIB should also ramp, supplemented by a potential upside from HBM wafer processing for Micron from '28. The better niche memory/logic foundry landscape and diversifying drivers should expand its GM to 49-50% in '27-28 (vs. BofAe 38% in '26) more sustainable than its pure memory peers

### More sustained pricing upcycle expands EPS and valuation

We lift our 2026-28E EPS by 7-15% to NT$7.78/8.47/8.55. We reiterate our Buy rating and lift PO from NT$110 to NT$125, still based on 15x 2027E P/E (vs. its 8-27x P/E historical range), factoring in stronger sales growth and GM on pricing uptrend.

| Estimates (Dec) (NT$) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| Net Income (Adjusted - mn) | (6,777) | (7,813) | 33,817 | 36,804 | 37,187 |
| EPS | (1.64) | (1.86) | 7.78 | 8.47 | 8.55 |
| EPS Change (YoY) | 304.3% | -13.9% | NM | 8.8% | 1.0% |
| Free Cash Flow / Share | (4.10) | (0.183) | 3.63 | 8.08 | 7.43 |
| **Valuation (Dec)** | | | | | |
| P/E | NM | NM | 8.51x | 7.82x | 7.74x |
| EV / EBITDA* | 185.75x | 57.43x | 6.44x | 5.47x | 5.82x |
| Free Cash Flow Yield* | -5.45% | -0.246% | 5.06% | 11.27% | 10.35% |

* For full definitions of iQmethod℠ measures, see page 6.

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**Refer to important disclosures on page 7 to 9. Analyst Certification on page 4. Price Objective Basis/Risk on page 4.**
13031007

**22 October 2026**

Equity

**Key Changes**

| (NT$) | Previous | Current |
|---|---|---|
| Price Obj. | 110.00 | 125.00 |
| 2026E EPS | 6.78 | 7.78 |
| 2027E EPS | 7.50 | 8.47 |
| 2028E EPS | 8.00 | 8.55 |
| 2026E EBITDA (m) | 42,513.1 | 46,195.3 |
| 2027E EBITDA (m) | 50,541.1 | 54,399.6 |
| 2028E EBITDA (m) | 49,423.8 | 51,076.7 |

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**Stock Data**

| | |
|---|---|
| Price | 66.20 TWD |
| Price Objective | 125.00 TWD |
| Date Established | 22-Oct-2026 |
| Investment Opinion | C-1-9 |
| 52-Week Range | 27.35 TWD-94.50 TWD |
| Mrkt Val / Shares Out (mn) | 9,553 USD / 4,712.1 |
| Market Value (mn) | 311,940 TWD |
| Average Daily Value (mn) | 239.74 USD |
| Free Float | 77.8% |
| BofA Ticker / Exchange | XCHPF / TAI |
| Bloomberg / Reuters | 6770 TT / 6770.TW |
| ROE (2026E) | 31.9% |
| Net Dbt to Eqty (Dec-2025A) | -19.2% |

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# *iQ*profile℠ Powerchip Semiconductor Manufacturing Co

| Key Income Statement Data (Dec) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **(NT$ Millions)** | | | | | |
| Sales | 44,726 | 46,730 | 79,059 | 112,192 | 113,579 |
| Gross Profit | 525 | (1,537) | 29,904 | 55,919 | 57,025 |
| Sell General & Admin Expense | (4,737) | (2,797) | (3,837) | (4,446) | (4,593) |
| Operating Profit | (7,965) | (5,960) | 36,605 | 44,097 | 44,748 |
| Net Interest & Other Income | 1,134 | (1,517) | 518 | (409) | (584) |
| Associates | 0 | 0 | 0 | 0 | 0 |
| Pretax Income | (6,832) | (7,477) | 37,123 | 43,688 | 44,163 |
| Tax (expense) / Benefit | 54 | (336) | (3,306) | (6,883) | (6,977) |
| Net Income (Adjusted) | (6,777) | (7,813) | 33,817 | 36,804 | 37,187 |
| Average Fully Diluted Shares Outstanding | 4,144 | 4,193 | 4,347 | 4,347 | 4,347 |
| **Key Cash Flow Statement Data** | | | | | |
| Net Income | (6,777) | (7,813) | 33,817 | 36,804 | 37,187 |
| Depreciation & Amortization | 9,566 | 11,137 | 9,590 | 10,303 | 6,329 |
| Change in Working Capital | (2,058) | 1,383 | (9,015) | (875) | (319) |
| Deferred Taxation Charge | NA | NA | NA | NA | NA |
| Other Adjustments, Net | 5,764 | 3,116 | (5,611) | 409 | 584 |
| Cash Flow from Operations | 6,495 | 7,823 | 28,781 | 46,641 | 43,782 |
| Capital Expenditure | (23,500) | (8,591) | (13,000) | (11,500) | (11,500) |
| (Acquisition) / Disposal of Investments | (11,856) | 12,145 | (28,532) | 0 | 0 |
| Other Cash Inflow / (Outflow) | 57 | 0 | 42,886 | 0 | 0 |
| Cash Flow from Investing | (35,298) | 3,554 | 1,354 | (11,500) | (11,500) |
| Shares Issue / (Repurchase) | 1,043 | 693 | 29,093 | 0 | 0 |
| Cost of Dividends Paid | NA | NA | NA | NA | NA |
| Cash Flow from Financing | 6,579 | (5,517) | (9,153) | 0 | 0 |
| Free Cash Flow | (17,005) | (767) | 15,781 | 35,141 | 32,282 |
| Net Debt | (22,314) | (15,709) | (54,963) | (94,500) | (127,642) |
| Change in Net Debt | 42,303 | (2,524) | (13,737) | (35,141) | (32,282) |
| **Key Balance Sheet Data** | | | | | |
| Property, Plant & Equipment | 124,236 | 122,004 | 88,293 | 89,471 | 93,374 |
| Other Non-Current Assets | 14,324 | 12,534 | 14,744 | 14,794 | 14,797 |
| Trade Receivables | 6,417 | 6,550 | 15,210 | 15,679 | 16,041 |
| Cash & Equivalents | 32,034 | 26,749 | 65,451 | 104,988 | 138,130 |
| Other Current Assets | 11,910 | 10,849 | 18,506 | 19,682 | 19,849 |
| Total Assets | 188,921 | 178,686 | 202,204 | 244,614 | 282,191 |
| Long-Term Debt | 8,109 | 10,368 | 9,868 | 9,868 | 9,868 |
| Other Non-Current Liabilities | 61,741 | 63,532 | 40,335 | 39,669 | 39,746 |
| Short-Term Debt | 1,611 | 672 | 620 | 620 | 620 |
| Other Current Liabilities | 28,814 | 22,113 | 21,191 | 20,993 | 21,130 |
| Total Liabilities | 100,275 | 96,685 | 72,015 | 71,150 | 71,364 |
| Total Equity | 88,646 | 82,000 | 130,189 | 173,464 | 210,827 |
| Total Equity & Liabilities | 188,921 | 178,686 | 202,204 | 244,614 | 282,191 |
| ***iQ***method℠ **- Bus Performance*** | | | | | |
| Return On Capital Employed | -3.7% | -2.9% | 20.0% | 18.8% | 15.9% |
| Return On Equity | -7.4% | -9.2% | 31.9% | 24.2% | 19.4% |
| Operating Margin | -17.8% | -12.8% | 46.3% | 39.3% | 39.4% |
| EBITDA Margin | 3.6% | 11.1% | 58.4% | 48.5% | 45.0% |
| ***iQ***method℠ **- Quality of Earnings*** | | | | | |
| Cash Realization Ratio | NM | NM | 0.9x | 1.3x | 1.2x |
| Asset Replacement Ratio | 2.5x | 0.8x | 1.4x | 1.1x | 1.8x |
| Tax Rate (Reported) | 0.8% | NM | 8.9% | 15.8% | 15.8% |
| Net Debt-to-Equity Ratio | -25.2% | -19.2% | -42.2% | -54.5% | -60.5% |
| Interest Cover | -5.2x | -3.3x | 26.3x | 28.8x | 26.2x |

**Key Metrics**

* For full definitions of *iQ*method℠ measures, see page 6.

## Company Sector

Semiconductors

## Company Description

Powerchip (PSMC) is a semiconductor foundry for both logic and memory chips, with production based on both 8-inch and 12-inch wafers. The company helps manufacture various kinds of semiconductors, including driver IC, power IC/discrete, DRAM etc., and it has fabs located in Hsinchu and Miaoli.

## Investment Rationale

We have an Buy rating on PSMC as we expect its EPS and book value to be boosted by better memory business outlook and logic business transformation.

## Stock Data

| | |
|---|---|
| Price to Book Value | 2.4x |

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# Focus table

**Exhibit 1: Powerchip 3Q26-4Q26 and 2026-2027 estimates BofAe vs Street**
We now model 2026/2027 EPS to be NT$7.78/8.47

| | 3Q26 | | | 4Q26E | | | 2026E | | | 2027E | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | Actual | Old | Street | BofAe | Old | Street | BofAe | Old | Street | BofAe | Old | Street |
| Sales (NT$mn) | $21,342 | $14,810 | $19,134 | $26,855 | $23,485 | $23,471 | $79,059 | $69,159 | $74,084 | $112,192 | $111,712 | $108,553 |
| **Sales QoQ / YoY (%)** | **23.4%** | **-14.3%** | **10.7%** | **25.8%** | **58.6%** | **22.7%** | **69.2%** | **48.0%** | **58.5%** | **41.9%** | **61.5%** | **46.5%** |
| Gross profit (NT$mn) | $10,148 | $5,829 | $6,895 | $13,479 | $9,765 | $10,322 | $29,904 | $21,871 | $23,733 | $55,919 | $45,428 | $52,848 |
| **GMs (%)** | **47.5%** | **39.4%** | **36.0%** | **50.2%** | **41.6%** | **44.0%** | **37.8%** | **31.6%** | **32.0%** | **49.8%** | **40.7%** | **48.7%** |
| Operating profit (NT$mn) | $7,830 | $4,952 | $5,169 | $10,865 | $8,769 | -$1,470 | $36,605 | $31,631 | $31,134 | $44,097 | $40,162 | $40,336 |
| **OpMs (%)** | **36.7%** | **33.4%** | **27.0%** | **40.5%** | **37.3%** | **34.3%** | **46.3%** | **45.7%** | **42.0%** | **39.3%** | **36.0%** | **37.2%** |
| Pretax profit (NT$mn) | $8,140 | $4,632 | $5,347 | $10,763 | $8,435 | $8,045 | $37,123 | $31,287 | $31,547 | $43,688 | $38,636 | $40,759 |
| Pretax margins (%) | 38.1% | 31.3% | 27.9% | 40.1% | 35.9% | 34.3% | 47.0% | 45.2% | 42.6% | 38.9% | 34.6% | 37.5% |
| Tax expense (NT$mn) | -$1,640 | -$371 | -$928 | -$969 | -$759 | -$1,056 | -$3,306 | -$1,827 | -$2,616 | -$6,883 | -$6,054 | -$6,988 |
| Tax rate (%) | 20.1% | 8.0% | 17.4% | 9.0% | 9.0% | 13.1% | 8.9% | 5.8% | 8.3% | 15.8% | 15.7% | 17.1% |
| Net profit (NT$mn) | $6,500 | $4,262 | $4,419 | $9,794 | $7,676 | $6,990 | $33,817 | $29,459 | $28,931 | $36,804 | $32,582 | $33,771 |
| Net margins (%) | 30.5% | 28.8% | 23.1% | 36.5% | 32.7% | 29.8% | 42.8% | 42.6% | 39.1% | 32.8% | 29.2% | 31.1% |
| **EPS (NT$)** | **$1.38** | **$0.98** | **$0.96** | **$2.25** | **$1.77** | **$1.46** | **$7.78** | **$6.78** | **$6.35** | **$8.47** | **$7.50** | **$7.47** |

**Source:** BofA Global Research estimates, Bloomberg

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**Exhibit 2: Terms and definitions**
Glossary of abbreviations/acronyms

| Term | Definition |
|---|---|
| AI | Artificial Intelligence |
| PMIC | Power Management IC |
| DDIC | Display driver IC |
| DRAM | Dynamic Random Access Memory |
| IPD | Intelligent Power Devices |
| HBM | High Bandwidth Memory |
| WoW | Wafer on Wafer |
| EMIB | Embedded Multi-die Interconnect Bridge |

**Source:** BofA Global Research

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## Price objective basis & risk

**Powerchip Semiconductor Manufacturing Co (XCHPF)**
Our PO of NT$125 is based on 15x 2027E P/E (vs. the company's 8-27x P/E historical range) and at the lower-end of its 2nd tier foundry peers' 15-20x. We believe 15x, which is closed to its mid-cycle average and at a discount to peers, is justified as the company's core business has just turned profitable in recent quarters. We use P/E methodology to reflect our view that its earnings could be less cyclical following the restructuring in '26.

Upside risks: 1) faster-than-expected order transfer from non-China customers given the geopolitics and 2) lessened competition and/or stronger end demand to beef up utilization rate and margin profile.

Downside risks: 1) more aggressive capacity expansion to deteriorate balance sheet and cash flow with higher depreciation burden and 2) more aggressive expansion by memory IDMs on niche memory.

## Analyst Certification

I, Haas Liu, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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| Investment rating | Company | BofA Ticker | Bloomberg symbol | Analyst |
|---|---|---|---|---|
| **BUY** | | | | |
| | Alchip | ALCPF | 3661 TT | Haas Liu |
| | All Ring | XNQNF | 6187 TT | Haas Liu |
| | AMEC | XRTOF | 688012 CH | Dai Shen |
| | ASE Technology Holding | XSRIF | 3711 TT | Haas Liu |
| | ASE Technology Holding -ADR | ASX | ASX US | Haas Liu |

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| Investment rating | Company | BofA Ticker | Bloomberg symbol | Analyst |
|---|---|---|---|---|
| | ASMPT | ASMVF | 522 HK | Simon Woo, CFA |
| | Aspeed | XLKMF | 5274 TT | Mike Yang |
| | Chroma ATE | CRMJF | 2360 TT | Haas Liu |
| | Doosan Corp | DOSAF | 000150 KS | Simon Woo, CFA |
| | eMemory | XYLWF | 3529 TT | Mike Yang |
| | GigaDevice | XGXIF | 603986 CH | Daley Li, CFA |
| | Global Unichip Corp. | GBUHF | 3443 TT | Haas Liu |
| | Grand Process Technology Corp | XZOWF | 3131 TT | Haas Liu |
| | Hanmi Semiconductor | HNSIF | 042700 KS | Simon Woo, CFA |
| | Hon Precision | XXPIF | 7769 TT | Haas Liu |
| | Horizon Robotics | HRZRF | 9660 HK | Daley Li, CFA |
| | Iluvatar CoreX | XSIBF | 9903 HK | Daley Li, CFA |
| | Ingenic | XISCF | 300223 CH | Dai Shen |
| | InnoScience Technology | XSCHF | 2577 HK | Daley Li, CFA |
| | JCET Group Co Ltd | XJIEF | 600584 CH | Dai Shen |
| | King Yuan Electronics Corp. | KYUFF | 2449 TT | Haas Liu |
| | Kinik | KIKCF | 1560 TT | Haas Liu |
| | Macronix International | MXICF | 2337 TT | Dai Shen |
| | MediaTek | MDTKF | 2454 TT | Haas Liu |
| | Montage Technology | XRDFF | 688008 CH | Daley Li, CFA |
| | MPI Corporation | XMJCF | 6223 TT | Mike Yang |
| | Nanya Technology | NNYAF | 2408 TT | Simon Woo, CFA |
| | NCE Power | XVFFF | 605111 CH | Daley Li, CFA |
| | OmniVision | XXHQF | 603501 CH | Dai Shen |
| | Phison Electronics | PISNF | 8299 TT | Simon Woo, CFA |
| | Powerchip Semiconductor Manufacturing Co | XCHPF | 6770 TT | Haas Liu |
| | Powertech Technology | PWOGF | 6239 TT | Simon Woo, CFA |
| | Rockchip | XRPXF | 603893 CH | Daley Li, CFA |
| | Samsung C&T | XCDTF | 028260 KS | Simon Woo, CFA |
| | Samsung Elec -G | SSNHZ | SMSN LI | Simon Woo, CFA |
| | Samsung Electronics | SSNLF | 005930 KS | Simon Woo, CFA |
| | Samsung Electronics Preferred | SSNNF | 005935 KS | Simon Woo, CFA |
| | Silergy Corp. | SLEGF | 6415 TT | Mike Yang |
| | Silicon Motion | SIMO | SIMO US | Simon Woo, CFA |
| | SK Hynix | HXSCF | 000660 KS | Simon Woo, CFA |
| | SK Hynix ADR | SKHY | SKHY US | Simon Woo, CFA |
| | SK Square | SKSQF | 402340 KS | Simon Woo, CFA |
| | Taiwan Semiconductor Manufacturing Co. | TSM | TSM US | Haas Liu |
| | Taiwan Semiconductor Manufacturing Co. | TSMWF | 2330 TT | Haas Liu |
| | Vanguard International Semiconductor Co | VGILF | 5347 TT | Haas Liu |
| | Winbond Electronics | WBEKF | 2344 TT | Dai Shen |
| | WinWay Technology | XWCLF | 6515 TT | Mike Yang |
| | WT | XZOPF | 3036 TT | Mike Yang |
| **NEUTRAL** | | | | |
| | ASMedia Technology Inc. | XZSFF | 5269 TT | Mike Yang |
| | Black Sesame Intl Holding | BSIHF | 2533 HK | Daley Li, CFA |
| | Hangzhou Silan | XDFRF | 600460 CH | Daley Li, CFA |
| | Lion Electronics | XDHFF | 605358 CH | Dai Shen |
| | MetaX | XMEZF | 688802 CH | Daley Li, CFA |
| | Novatek | NVKMF | 3034 TT | Mike Yang |
| | Realtek | RLTKF | 2379 TT | Haas Liu |
| | Shenzhen Goodix | XQPLF | 603160 CH | Daley Li, CFA |
| | Soulbrain | XSBOF | 357780 KS | Simon Woo, CFA |
| | VeriSilicon | XMLZF | 688521 CH | Daley Li, CFA |
| **UNDERPERFORM** | | | | |
| | Crystal Clear | XPPTF | 300655 CH | Dai Shen |
| | Faraday | FDYTF | 3035 TT | Haas Liu |
| | GlobalWafers | XWLFF | 6488 TT | Mike Yang |
| | Hua Hong Grace | HHUSF | 1347 HK | Dai Shen |
| | LX Semicon | XLXSF | 108320 KS | Simon Woo, CFA |
| | M31 Technology | XMTZF | 6643 TT | Mike Yang |
| | Maxscend | XMXSF | 300782 CH | Daley Li, CFA |
| | Parade | PRDWF | 4966 TT | Mike Yang |
| | United Corp. | XUMIF | 2303 TT | Haas Liu |

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| | Win Semiconductors | WSMIF | 3105 TT | Haas Liu |
| | Wonik IPS | XRHQF | 240810 KS | Simon Woo, CFA |

## iQmethod℠ Measures Definitions

| Business Performance | Numerator | Denominator |
|---|---|---|
| Return On Capital Employed | NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization | Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization |
| Return On Equity | Net Income | Shareholders' Equity |
| Operating Margin | Operating Profit | Sales |
| Earnings Growth | Expected 5 Year CAGR From Latest Actual | N/A |
| Free Cash Flow | Cash Flow From Operations − Total Capex | N/A |
| **Quality of Earnings** | **Numerator** | **Denominator** |
| Cash Realization Ratio | Cash Flow From Operations | Net Income |
| Asset Replacement Ratio | Capex | Depreciation |
| Tax Rate | Tax Charge | Pre-Tax Income |
| Net Debt-To-Equity Ratio | Net Debt = Total Debt − Cash & Equivalents | Total Equity |
| Interest Cover | EBIT | Interest Expense |
| **Valuation Toolkit** | **Numerator** | **Denominator** |
| Price / Earnings Ratio | Current Share Price | Diluted Earnings Per Share (Basis As Specified) |
| Price / Book Value | Current Share Price | Shareholders' Equity / Current Basic Shares |
| Dividend Yield | Annualised Declared Cash Dividend | Current Share Price |
| Free Cash Flow Yield | Cash Flow From Operations − Total Capex | Market Cap = Current Share Price × Current Basic Shares |
| Enterprise Value / Sales | EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities | Sales |
| EV / EBITDA | Enterprise Value | Basic EBIT + Depreciation + Amortization |

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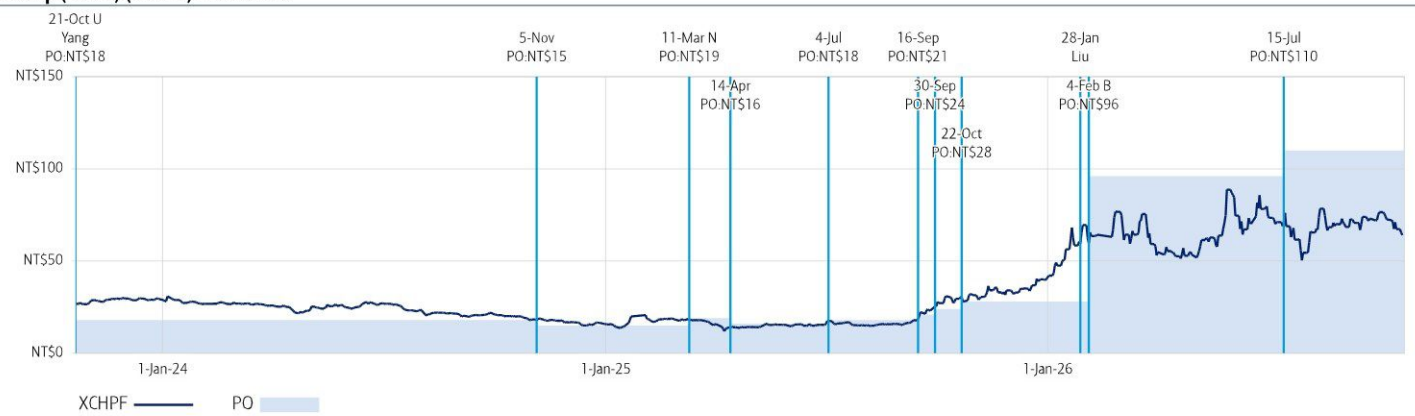


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**Powerchip (PSMC) (XCHPF) Price Chart**




B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

**Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)**

| Coverage Universe | Count | Percent | Inv. Banking Relationships [R1] | Count | Percent |
|---|---|---|---|---|---|
| Buy | 255 | 62.04% | Buy | 157 | 61.57% |
| Hold | 82 | 19.95% | Hold | 46 | 56.10% |
| Sell | 74 | 18.00% | Sell | 31 | 41.89% |

**Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)**

| Coverage Universe | Count | Percent | Inv. Banking Relationships [R1] | Count | Percent |
|---|---|---|---|---|---|
| Buy | 2057 | 57.03% | Buy | 1386 | 67.38% |
| Hold | 806 | 22.35% | Hold | 563 | 69.85% |
| Sell | 744 | 20.63% | Sell | 446 | 59.95% |

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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| Investment rating | Total return expectation (within 12-month period of date of initial rating) | Ratings dispersion guidelines for coverage cluster[R2] |
|---|---|---|
| Buy | ≥ 10% | ≤ 70% |
| Neutral | ≥ 0% | ≤ 30% |
| Underperform | N/A | ≥ 20% |

[R2] Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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